The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS STUDY CORNER

SOX · MU (FRI CLOSE)
−3.83% SOX 11,137.29, all 30 down · MU $878.84
(−5.63%; −14.6% wk calc)

DDR5 SPOT
$60.60 +0.28% · TrendForce 2026-10-16 18:10
GMT+8 · TF: buyers "wait-and-see"

LEAD STORY

TAPE · KOREA VS US · AI FINANCING

Seoul Bounces, Wall Street Doesn't: SOX Falls 3.8% With All 30 Members Down; Micron Ends Week Down ~15% as AI-Debt Fears Join the CXMT Scare

Kospi snapped a seven-session slide (+2.05%; Samsung +3.3%, SK hynix +0.2%), then New York sold memory and storage 6–7.5%. CoreWeave −11.9%; its 5-year CDS hit 1,117bp.

By the Memory Cycle Desk · Tel Aviv · Data as of ~08:40 IDT · CONFIRMED

KEY NUMBERS · THE CYCLE IN NUMBERS

KOREA CLOSE FRI OCT 16

Kospi	**5,668.05 (+2.05%)**
Samsung / SKH	**₩217,000 / ₩1,265,000**
Day move	**+3.33% / +0.24%**

US CLOSE FRI OCT 16

SOX / Nasdaq	**−3.83% / −2.14%**
MU / SNDK	**$878.84 −5.63% / −6.85%**
WDC / STX	**−6.86% / −7.50%**

CXMT 9M26 GUIDE

9M net profit	**RMB131.0–132.5B**
Implied Q3 NP q/q	**+1–4%**
Implied Q3 rev q/q	**+15–20%**

VALUATION / SPOT

GS P/B 28E Sam / SKH	**0.9× / 0.9×**
DDR5 16Gb spot	**$60.60 (+0.28%)**
CRWV 5y CDS	**1,117bp**

Sources: Yonhap; CBC Globe; TradingKey; Exa market pages (MU week calc vs $1,029.00 Oct 9); CTOL Digital / Reuters (CXMT); Investing.com via Yahoo (GS); TrendForce spot.

Korea closed higher Friday for the first time in eight sessions: Kospi **+2.05% to 5,668.05**, well off its intraday high of 5,809.94 (CBC Globe). Samsung rose **3.33% to ₩217,000**; SK hynix only **0.24% to ₩1,265,000**. Over the seven sessions from Oct 6, Samsung fell 23.9% and SK hynix 31.5% (Korea Times). CONFIRMED

New York did not follow. TradingKey: SOX **−3.83% to 11,137.29, all 30 constituents down**; Nasdaq −2.14%; MU **−5.63% to $878.84**; SNDK −6.85%; WDC −6.86%; STX −7.50%; US-listed SK hynix −6.58%; KLAC −5.00%, AMAT −4.82%, LRCX −4.87%. CoreWeave fell 11.91% (−25.2% on the week) with 5-year CDS at 1,117bp. MU is down about 14.6% for the week (calc from Exa closes). CONFIRMED

Our call: late upcycle, tight through 2027, unchanged. The fundamentals still read tight, but AI-financing stress has joined the CXMT scare as a driver of the tape, and CXMT's own numbers add a first small caution flag (below).

CHINA SUPPLY · MARGINS

CXMT's Profit Stalls: 9-Month Guide Implies Q3 Net Up Only 1–4% on 15–20% More Revenue

CXMT pre-announced 9M26 net profit of **RMB131.0–132.5B** on revenue of **RMB265–270B** (unaudited, forecast notice 2026-014; Reuters headline, CTOL Digital). That implies Q3 net profit of RMB53.4–54.9B, **+1.0–3.9% q/q** after +113% in Q2, while implied revenue rose **15–20% q/q**. Implied Q3 net margin falls to **44.6–47.9%** from 53.1%. Price or ramp costs? The full Q3 report should tell (CTOL). CONFIRMED

CYCLE SIGNAL

SELL SIDE · SHORTAGE

Wall Street Pushes Back: Goldman Sees Korean Memory Priced for a 2028 Downturn at Under 1× Book; Micron Says HBM Booked Through 2027



Photo: Taiwan Presidential Office via Seoul Economic Daily

Goldman (Investing.com): Samsung, SK hynix, MU, SNDK, Kioxia and CXMT are −11% to −26% since Oct 10, with >$700B wiped; P/B on 2028E is **0.9×** for both Korean names; "still a significant technology gap" in advanced DRAM and HBM, though few near-term catalysts. Micron Taiwan's chair said at the AATT2 packaging plant opening that HBM is **booked through 2027** (Seoul Economic Daily). TrendForce's Oct 16 HBM bulletin sees HBM undersupplied through 2028; MK cites Kyobo's HBM share of DRAM capacity rising from 27% (2025) to 40% (2027). CONFIRMED UBS, BofA and Daishin defenses came via X only. SECONDARY

FROM THE INBOX · SINCE OCT 16, 08:09 IDT · SATURDAY, THIN

NEW **Jefferies sales desk: Hynix HBM order-cut chatter.** Pre-Market Digest: "Samsung beats Hynix on Hynix HBM order-cut reports"; memory "Mixed." Desk colour, not research. UNCONFIRMED Jefferies Pre-Market note, Oct 16 15:06

Jefferies Memory webinar Thu Oct 22 16:00 IDT. Dr Harald Lee (ex-Samsung SVP). Bear topics listed: CXMT, YMTC IPO, Nvidia HBM specs for Rubin Ultra, LTAs capping upside; bull: Samsung sees 2027 tighter than 2026. 14:30 call: "Rubin delays on the news of HBM cuts at Hynix." Jefferies Semis Daily, Oct 16

ON X · SINCE LAST EDITION

@jukan05
CXMT Q3 implied NP RMB53.4–54.9B (+1–4% q/q) on revenue +15–20% q/q.
x.com/.../2111255909385314584

@pequityresearch SECONDARY
Daishin: 2028 glut fears premature; ~50% OPM even after a 50% DRAM price drop.
x.com/.../2111155462460870663

@pequityresearch SECONDARY
BofA: "supercycle-level" ASPs, revenue and margins through 2027–28.
x.com/.../2111252435188531367

@pequityresearch SECONDARY
KeyBanc: Rubin Ultra sampling 384GB HBM4E, but suppliers expect a despec to 256GB.
x.com/.../2111171065237963231

@The_AI_Investor UNCONFIRMED

Apple CEO to TIME: memory shortage an “absolute crisis”; Chinese DRAM on the table (TIME not checked).

x.com/…/2111256570801824074

X API posts. Dan Ives “13 to 1”, the Dell CEO quote and a DRAM price-fixing class-action post are unverified and left out.

CYCLE TRACKER

Fundamentals still tight; first CXMT margin wobble; US tape broke the Korea bounce

GAUGE	TODAY VS OCT 16	NUDGE
Contract vs spot	DDR5 $60.60 flat; TF “weak buying, wait-and-see”; TF 4Q +10–15% DRAM / +15–20% NAND carry	**Spot stalling high**
Lead times / HBM	Micron HBM booked thru 2027; TF HBM short thru 2028; Kyobo HBM 40% of capacity 2027	**Tight**
Demand	MK: consoles −25–33% YTD, PCs ≥−20% (Gartner); OCP: more channels per server	**Consumer softening**
Supply / CXMT	CXMT Q3 NP +1–4% q/q on rev +15–20%; capacity 290k→513k wpm 2026→28 (TradingKey); YMTC #3 NAND	**Slightly looser (2028)**
Valuation	GS P/B 0.9× on 2028E; Kospi ~8× P/E, near 2003/08/20 troughs (JEF desk)	**Pricing a downturn**
Tape / macro	Kospi +2.05%; SOX −3.83%; MU −5.63%; CRWV CDS 1,117bp	**Gap wider**

Watch: Korea Oct 1–20 exports (Oct 21); Lam (Oct 21); Jefferies Memory (Oct 22); WDC (Oct 22); SKH Oct 28; Samsung Oct 29; FOMC Oct 28.

VERDICT

Late upcycle; tight through 2027, unchanged, with a small nudge looser on 2028 supply. Korea’s Friday bounce (Kospi +2.05%; Samsung +3.3%, SKH +0.2%) failed in New York: SOX −3.83% with all 30 down and MU −5.63% to $878.84 (about −14.6% on the week), as AI-financing stress (CoreWeave CDS 1,117bp) piled onto the CXMT scare. Fundamentals still read tight (Micron HBM booked through 2027; TrendForce: HBM short through 2028). New caution flag: CXMT’s implied Q3 profit is flat q/q on 15–20% more revenue, and TrendForce describes spot buyers as wait-and-see.

EVENTS CALENDAR · OCT 21–29 · ISRAEL TIME

When	Event	Watch
Wed 21 · ~03:00	Korea Oct 1–20 exports (usual schedule)	chip exports
Wed 21 · AMC	Lam Research · TI · Meta	WFE / capex
Thu 22 · 14:30 / 16:00	Jefferies Asia supply chain · Memory bull/bear (Harald Lee)	HBM cuts?
Thu 22 · AMC	Western Digital FQ1 · Micron union deadline	HDD / NAND
Wed 28 · 02:00	SK hynix 3Q26 (09:00 KST)	HBM / LTAs
Wed 28 · 20:00	FOMC decision · KLA, Alphabet, Microsoft AMC	rates / capex
Thu 29 · 03:00	Samsung 3Q26 + call	HBM, capex
Thu 29 · AMC	Sandisk FQ1 · Intel · Amazon	NAND / capex

IDT through Oct 24; IST (UTC+2) from Sun Oct 25. Also: Seagate Oct 27, Kioxia Oct 30. Korea export timing follows the usual cadence; CXMT full Q3 date unconfirmed.

STUDY CORNER · DAY 12 OF 14

Learning-only outreach to Israeli memory veterans

Task: Draft short, learning-only notes to 3 Israeli memory veterans from the plan (e.g. Mergi, Moran, Vastchenok), each with one specific cycle question and no stock asks; send them yourself after review. Qs on Day 11 (Bits × ASP scorecard):

1. CXMT's implied Q3 revenue rose 15–20% q/q but profit only 1–4%. In a Bits × ASP frame, what mix of bit growth, ASP and cost would produce that, and which would you ask a veteran about first?
2. If HBM keeps taking wafers so conventional DRAM bit growth falls to mid-single digits, in your scorecard, does that make the ASP or the bit-growth row more important for Micron's next four quarters?
3. Goldman says 0.9× 2028E book prices in a downturn. Which ASP-decline cell in your model gets Micron to a similar trough multiple, and does it match past peak-to-trough ASP falls?

SOURCES & FURTHER READING

- ▸ TradingKey: US close, chips fall broadly, Micron −5%
- ▸ Korea Times: Samsung, SK hynix sell-off excessive
- ▸ Reuters via TradingView: CXMT 9M net profit guide
- ▸ Seoul Economic Daily: Micron opens AATT2; HBM booked thru 2027
- ▸ TrendForce HBM Market Bulletin Oct 16
- ▸ CBC Globe: Kospi closes over 2% higher
- ▸ CTOL Digital: CXMT profit levels off
- ▸ Investing.com/Yahoo: Goldman flags 2 memory stocks
- ▸ MK: general-purpose DRAM running dry; Kyobo HBM 40%
- ▸ TrendForce DRAM spot

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #11 · Oct 17, 2026